The 6 chart patterns that appear most often in the market — with entry, stop, and target rules.

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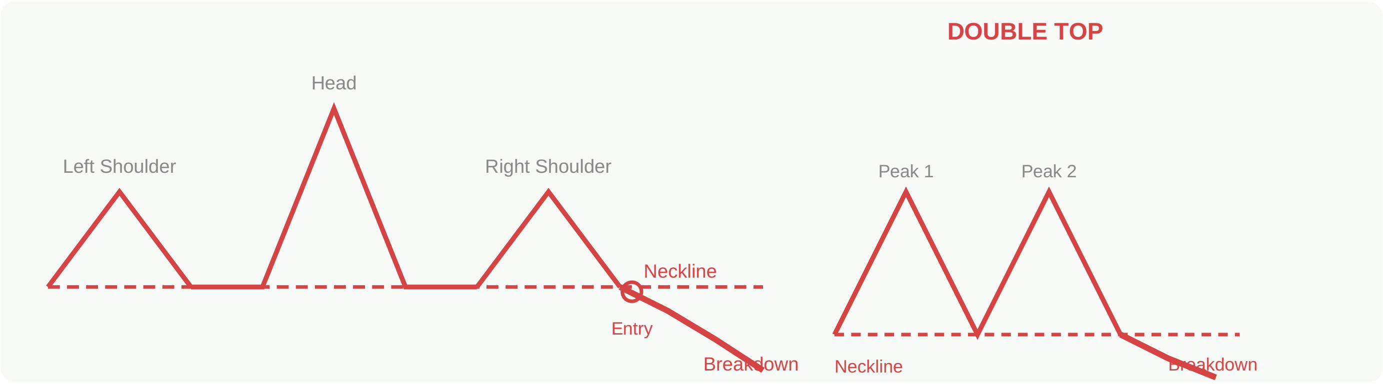
Chart patterns are repeatable price formations that signal what a stock is likely to do next. They work because human psychology is consistent — fear, greed, indecision, and conviction play out in the same patterns repeatedly across different stocks, timeframes, and market conditions.

BULL FLAG — CANDLESTICK VISUAL

SUPPORT AND RESISTANCE — CANDLESTICK VISUAL

HEAD AND SHOULDERS PATTERN — VISUAL REFERENCE



PATTERN 1

Bull Flag

A sharp, strong upward move — the flagpole — followed by a tight, orderly consolidation drifting slightly downward on significantly lower volume. The consolidation is the flag. When price breaks above the flag's high on expanding volume, the move typically continues the same distance as the original flagpole.

PATTERN 2

Bear Flag

The inverse of the bull flag. A sharp downward move on high volume, followed by a weak low-volume bounce or sideways consolidation. When price breaks below the flag low on volume, the move typically continues downward the same distance as the initial decline.

PATTERN 3

Ascending Triangle

A series of higher lows pressing against a flat horizontal resistance level. Each pullback sees buyers step in at a higher price — showing increasing urgency from the buy side. When price breaks above the flat resistance on expanding volume, the breakout tends to be strong because all the trapped sellers above have already been absorbed.

PATTERN 4

Descending Triangle

The inverse. A series of lower highs pressing against a flat horizontal support level. Each rally attempt fails at a lower price — sellers becoming increasingly aggressive. A break below the flat support on volume signals buyers have been exhausted and selling pressure is ready to accelerate.

PATTERN 5

Head and Shoulders

Three-peak formation: left shoulder, higher head, right shoulder roughly equal to left shoulder. A neckline connects the lows between peaks. Break below the neckline on above-average volume is one of the most reliable major top reversal signals in technical analysis.

PATTERN 6

Double Top and Double Bottom

Double top: price tests the same resistance twice and fails — bearish reversal confirmed when the low between peaks breaks. Double bottom: two tests of the same support — bullish reversal confirmed when the high between the two troughs breaks upward.

PATTERN ENTRY, STOP, AND TARGET — COMPLETE REFERENCE

PATTERN	ENTRY SIGNAL	STOP PLACEMENT	PRICE TARGET	VOLUME REQUIRED
Bull Flag	Break above flag high	Below flag low	Flagpole length added to breakout	2x+ average on breakout candle
Bear Flag	Break below flag low	Above flag high	Flagpole length subtracted from breakdown	2x+ average on breakdown candle
Ascending Triangle	Break above flat resistance	Below most recent higher low	Triangle height added to breakout	Significant expansion on breakout
Descending Triangle	Break below flat support	Above most recent lower high	Triangle height subtracted from breakdown	Significant expansion on breakdown
Head and Shoulders	Break below neckline	Above right shoulder high	Head-to-neckline distance subtracted	High volume on neckline break
Double Top	Break below mid-pattern low	Above both peak highs	Pattern height subtracted from breakdown	Expansion on breakdown candle
Double Bottom	Break above mid-pattern high	Below both trough lows	Pattern height added to breakout	Expansion on breakout candle

PATTERN VALIDITY CHECKLIST

- [ ] Volume contracted noticeably during the consolidation or pattern formation phase
- [ ] Volume expanded significantly on the breakout or breakdown candle
- [ ] The breakout candle closed clearly beyond the level — not just a wick through and back
- [ ] The pattern is obvious and visible on the chart — if you have to look hard for it, it is not there
- [ ] The trade is in the direction of the primary trend on the higher timeframe
- [ ] No major resistance (for longs) or support (for shorts) immediately beyond the entry

> **TST CORE PRINCIPLE**
> The most common and costly pattern trading mistake is entering before the breakout is confirmed. Anticipating a breakout is a guess. Trading a confirmed breakout with volume expansion is a strategy. The patience to wait for confirmation is what separates disciplined traders from impulsive ones.

Full chart patterns curriculum with real trade examples in the TST Academy Beginner section at topstocktrading.com

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